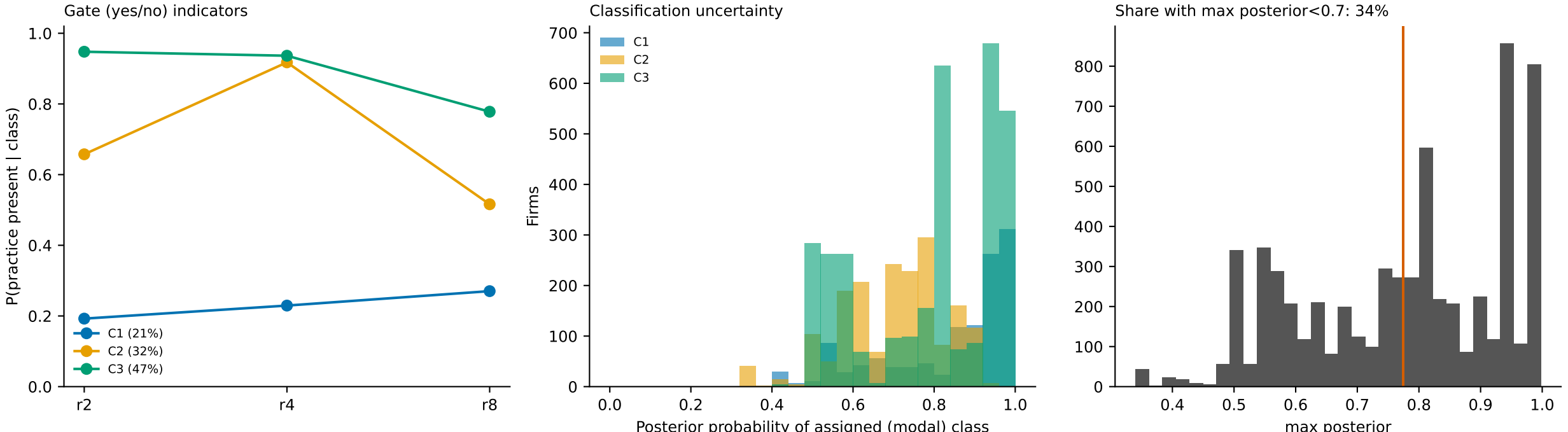
Gate (yes/no) indicators
P(practice present | class)
1.0
0.8
0.6
0.4
0.2
0.0
r2
r4
r8
C1 (21%)
C2 (32%)
C3 (47%)
Classification uncertainty
Firms
700
600
500
400
300
200
100
0
C1
C2
C3
0.0
0.2
0.4
0.6
0.8
1.0
Posterior probability of assigned (modal) class
Share with max posterior<0.7: 34%
800
700
600
500
400
300
200
100
0
0.4
0.5
0.6
0.7
0.8
0.9
1.0
max posterior